

the bulls were manipulators who finagled the prices up, while the bears were the short-sellers who finagled the prices down. The 1920s was the heyday of short-sellers, including the famous "Sell 'Em" Ben Smith.

In recent decades, shorting has become less popular—perhaps due to the moral misgivings that are difficult to comprehend. There's no ethical difference between betting on a stock to go up or betting on it to go down, yet today's professional short-seller is shunned, despised, and slandered as the rheum of Wall Street. I was fortunate to meet one of the best of them through Mr. Gressel.

"Dump 'Em" Jim Chanos had an office in the same clearing-house where Mr. Gressel hung his lab coat. From what Mr. Gressel told me, Dump 'Em Jim Chanos was about as popular as keel scum, but to me, he seemed no different from your regular investment yuppie. In fact, he told me himself that he was no different from your regular investment yuppie—Yale graduate, wool sweaters, three children, house in Westchester, job on Wall Street—except for his selling short. For that, he'd been followed, snooped on, and harassed by numerous sleuths and spies sent around by corporations that would love to get some dirt on him, to cause him some public discredit and in effect to short his already terrible reputation.

For his part, Dump 'Em Jim Chanos did everything possible to get dirt on corporations and delighted when he could succeed. His great success was Baldwin-United, which he identified as a loser while Wall Street analysts recommended it at \$25. He shorted more and more shares as the stock rose to \$50. This was a stern test of a negative belief. You can imagine the despair of selling great quantities of something for \$25 expecting it soon to be worthless, then facing the prospect of having to buy it all back at \$50. But Dump 'Em Jim held on.

While an investor on the long side is mercifully spared since a stock can go no lower than zero, a short-seller is gambling against infinity since there's no limit to how high a stock can go. Theoretically, a stock could go to \$1 million a share, and any shorter of it would have to raise that amount to support the increase, until eventually he'd be forced to sell out and/or go bankrupt.

In the case of Baldwin-United, this required extra courage, and